

Micron Technology, Inc.

MU NASDAQ

Hold	\$881.40 ▼ 0.01%	12M Price Target \$950.00	52-Week Range \$111.67 – \$1255.00	Market Cap \$995.75B
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MU: Memory Cycle Peaking, Citi Cuts as Rally Cools

WHAT HAPPENED

- Citi cut its price target and flagged memory chip prices peaking in Q2 2027 — that's the big overnight tell. Stock is basically flat but the message is "the party has an end date." When an analyst tells you exactly when the cycle rolls over, smart money starts trimming ahead of that date, not on it.
- SK Hynix announcing a \$38B memory capex splurge should terrify MU holders — more supply = lower prices — but Barron's is spinning it as no big deal because HBM (high-bandwidth memory, the stuff Nvidia's AI chips need) demand is still outrunning supply. Read: the bull case now depends entirely on AI demand holding up.

WHY IT MATTERS

Here's what I'm actually thinking: MU has 8x'd off the lows to hit a \$1T market cap, and now the smartest sell-side shop on semis (Citi) is putting a clock on the cycle. That doesn't mean sell tomorrow — memory cycles historically overshoot both ways — but it means the easy money is gone and you're now playing a timing game. The unusual put buying at \$1090 and \$1100 strikes (\$51M notional combined) tells me institutions are hedging the upside, not betting on a crash — they think we're rangebound to slightly higher, then down. The insider selling (Tysoe dumping \$872K at \$199 — wait, that's a stale price on an exercise, so read it as exercise-and-hold-ish behavior) isn't alarming but nobody's buying either.

POLICY & POLITICAL WATCH

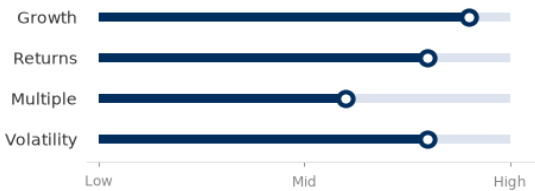
The CHIPS Act is MU's best friend — they've been awarded ~\$6.1B in direct grants for Idaho and New York fabs, and the Trump administration has kept the funding flowing despite earlier threats to renegotiate. Watch two things: (1) any escalation in US-China chip export controls — MU sells ~10% into China and Beijing has previously banned them from critical infrastructure, so retaliation risk is real; (2) the pending semiconductor investment tax credit expansion being discussed in the Senate Finance Committee — if it passes, MU's capex gets subsidized further and estimates go up. The political wind is at their back for now, but a single tit-for-tat with China on memory imports could crater sentiment overnight.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$881.40
12M Price Target	\$950.00
Upside / (Downside)	+7.8%
Market Cap	\$995.75B
FY2026E Revenue	\$52,000M
FY2027E Revenue	\$68,000M
FY2026E EPS	\$14.50
FY2027E EPS	\$22.00
Fwd P/E	60.8x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$950.00	\$885.00	\$800.00
6 Months	\$1100.00	\$950.00	\$750.00
1 Year	\$1250.00	\$950.00	\$650.00
2 Years	\$1400.00	\$900.00	\$500.00
5 Years	\$1800.00	\$1100.00	\$400.00
10 Years	\$2500.00	\$1500.00	\$350.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Tech (+7% in 5 days) is the clear leader — AI capex cycle is still in full swing and every hyperscaler earnings print has confirmed more spending, not less. Consumer Discretionary and Materials also strong, suggesting the market is still risk-on.

COOLING OFF: Healthcare barely positive and Real Estate negative on the week — defensive sectors are being funded by selling, which usually happens late in a bull run.

ROTATION WATCH: Money is still flowing INTO AI-adjacent names but within the trade it's rotating from pure GPU plays toward memory, networking, and power. That's a maturity signal — the trade is broadening, which extends its life but reduces the explosive upside for the original leaders like MU.

RELATED PLAY: If you like the memory thesis but want less concentration risk, the semiconductor equipment names (LRCX, AMAT, KLAC) get paid whether MU or SK Hynix wins — they sell the picks and shovels to both.

WHO'S WINNING IN THIS SPACE?

- NVDA (Nvidia): Still the reference asset — every dollar of NVDA capex demand pulls MU's HBM with it.
- AVGO (Broadcom): Custom AI silicon for hyperscalers keeps eating into the AI budget pie and lifts memory demand alongside it.

MU CONTEXT: MU is roughly in-line with the semi group over the past week but lagging the AI leaders — that's the market telling you it views MU as a cyclical beneficiary, not a secular winner. If MU can't reclaim leadership on the next leg up, that's your signal the cycle top thesis is playing out.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — Cautiously constructive but the risk/reward has flattened materially after this run; I'm not pounding the table at \$881.

POSITION SIZE: 2-4% — this is a cyclical at cycle-peak-ish, not a core hold. Size for volatility.

ENTRY POINTS: I'd wait for \$800-830 pullbacks rather than chase. If it breaks \$780 on volume, that's a "reassess" moment not a "back up the truck" moment.

TIME HORIZON: 6-18 months — you're playing for the last leg of the memory upcycle into Q2 2027, then reevaluating.

WHEN TO BAIL: (1) HBM ASPs (average selling prices) start falling in quarterly reports, (2) Nvidia formally qualifies Samsung as primary HBM4 supplier, (3) China announces retaliation on US memory, or (4) stock breaks \$750 with volume.

HEDGING: Simplest hedge — buy some downside protection via put options 10-15% below current price expiring 3-6 months out. Think of it as insurance: costs a small premium, protects you if the cycle rolls over faster than expected.